**HFDC Business Loan – Master Product Program Document**

**Version:** 1.0
**Effective Date:** Draft
**Jurisdictional Assumption:** India (adapt per country/state)
**Audience:** Product, Credit/Risk, Sales/Channels (DSA/Branches), Operations, Legal/Compliance, Treasury/Finance, Collections/Recovery, IT/Data/Analytics, Audit/Internal Control

---

## 1) Product Overview

**Product Name:** HFDC Business Loan (MSME/Self-Employed Lending)
**Purpose:** Provide working capital and term finance to **micro, small and medium businesses**, proprietors, professionals, traders, manufacturers, service providers, and small corporates.

### Use Cases (Illustrative)

- **Working Capital:** raw materials, inventory, receivables financing, vendor payments.
- **Term Needs:** machinery, plant/equipment, shop/warehouse fit-outs, technology upgrades.
- **Cash-Flow Mismatch:** seasonal businesses, invoice gaps, festival stock.
- **Expansion:** additional outlets, marketing, hiring, geographic expansion.
- **Refinance/BT:** take-over of costlier loans with improved cash-flow.

### Not Permitted

- Speculative activities, unlicensed businesses, prohibited goods/services, shell entities, benami structures, businesses with adverse environmental/legal flags, or on **negative lists** (maintained by Compliance).

### Positioning

- **Fast, data-light** underwriting for micro-enterprises with **banking/GST surrogates**.
- **Risk-based pricing**, transparent **KFS**, digital journey (eKYC, eSign, eNACH).
- **Asset-light** (unsecured) and **asset-backed** (secured) options.

---

## 2) Product Variants

1. **BL-Unsecured (Working Capital/Term)**
    - Ticket: ₹2 lakh – ₹50 lakh
    - Tenor: 12–60 months
    - Use: WC/term; no specific asset hypothecation; may take **negative lien**/post-dated e-mandate.
2. **BL-Secured (Loan Against Property – LAP for Business Use)**
    - Ticket: ₹10 lakh – ₹5 crore
    - Tenor: 36–180 months
    - Security: Mortgage of residential/commercial property (self-occupied/investment) or lease-rent discounting (LRD) structures.
3. **BL-OD/CC (Overdraft/Cash Credit)**
    - Limits against **stock & receivables**; renewable annually.
    - Drawing power (DP) computed from monthly stock/RC balance statements.
4. **BL-Invoice/Receivables Finance (Selective)**
    - Vendor financing, bill discounting with anchor/corporate programs.
    - Tenor: up to 120 days per invoice.
5. **BL-Machinery/Equipment Term Loan**
    - Asset-backed TL for machines, POS/fintech devices, solar/rooftop equipment.
    - Tenor: 24–84 months; hypothecation of asset.
6. **BL-Professional** (Doctors/CA/Lawyers/Architects)
    - Unsecured/secured with **professional surrogates**—digital receipts, clinic revenues, panel empanelments.
7. **BL-Women/MSME-Priority Programs**
    - Preferential pricing/fees; training & mentorship tie-ups; credit guarantee eligibility (if adopted).

---

**3) Key Parameters (Illustrative Policy Bands)**

| Parameter | BL-Unsecured | BL-Secured (LAP) | BL-OD/CC | Invoice Finance | Machinery TL |
|---|---|---|---|---|---|
| Ticket Size | ₹2L–₹50L | ₹10L–₹5Cr | ₹5L–₹3Cr | ₹5L–₹2Cr (program-based) | ₹5L–₹1.5Cr |
| Tenure | 12–60 mo | 36–180 mo | 12 mo (renewable) | 30–120 days | 24–84 mo |
| Pricing (p.a.) | 12%–24% | 10%–16% | 10.5%–18% | 11%–20% | 10%–16.5% |
| Security | Unsecured | Property mortgage | Hypothecation of stock/RC | Assignment of receivables | Asset hypothecation |
| LTV/Exposure | N/A | 50%–70% of property value | DP-linked (e.g., 20% margin) | 70%–85% of invoice | 65%–85% of asset cost |
| Processing Fee | 1%–3% | 0.5%–2% | 0.5%–1% | 0.5%–1.5% | 0.75%–2% |

**Notes:**
• LAP LTV depends on property type (residential/commercial), occupancy, city tier, and legal/valuation quality.
• OD/CC DP = Eligible Stock + Eligible Receivables − Margin − Overdues.
• Invoice finance eligibility tied to anchor quality, dilution risk, and past payment behaviour.

---

**4) Eligibility & Target Segments**

**Constitution Types**

- Proprietorship, Partnership, LLP, Private Limited, One-Person Company, and **Professionals**.

**Vintage & Turnover**

- Business vintage: **≥12–24 months** (unsecured); **≥24 months** (secured/OD).
- Annual turnover thresholds by program (e.g., ₹10L–₹5Cr for unsecured; higher for LAP/OD).

**Bureau & Behaviour**

- Bureau score thresholds for promoters/guarantors (e.g., 675–700+).
- Clean repayment track; low inquiry velocity; no recent write-offs/settlements.

**Banking/GST Surrogates**

- Average monthly bank credits ≥ ₹1–₹5 lakh (program-wise).
- GST filings consistent; e-invoice/eway bill trails supportive.

**Industry & Geography**

- Negative list excluded (e.g., speculative trading, banned goods).
- Concentration limits by **pincode, cluster, anchor, dealer**.

---

**5) Documentation – Master Checklists**

**KYC & Entity Proofs**

- **Entity:** GST registration, UDYAM/Udyog Aadhaar (MSME), incorporation docs (MOA/AOA/LLP deed/Partnership deed), PAN, shop & establishment license.
- **Promoter/Key Persons:** PAN, OVD (Aadhaar—voluntary/Passport/DL/Voter ID), photos, contact details.

**Financials**

- **Bank Statements:** 6–12 months (current & savings).
- **GST Returns:** GSTR-3B/GSTR-1 for last 4–8 quarters.
- **ITR & Financials:** Last 2 years audited P\&L, Balance Sheet with schedules; provisional current year if available.
- **Receivables/Payables:** Ageing statements; top customer/vendor list.

**Product-Specific**

- **LAP:** Title chain, EC, sanctioned plan, property tax receipts, valuation (tech + market), legal opinion; property photos; utility bills.
- **OD/CC:** Stock & receivable statements; DP format; insurance of stock; auditor certificate (if required).
- **Invoice Finance:** Invoices, e-way bills, delivery proofs (PoD), acceptance from anchor, assignment deed, ageing/limit.
- **Machinery TL:** Proforma invoice, quotations, technical specs, installation site proof, asset insurance.

**Repayment & Consents**

- eNACH/ACH mandate; eSign/eStamp; Bureau & bank analyzer consent; **KFS** acknowledgment; ESG/self-declaration (if applicable).

---

**6) Credit Policy & Underwriting**

**Capacity Assessment**

- **Cash-flow focus:** Monthly net cash accruals, average bank credits, seasonality, gross margins.
- **Turnover triangulation:** GST vs bank credits vs financials.
- **Obligations:** Existing EMIs/loans, CC/OD interest, statutory dues.

**Key Ratios (Illustrative)**

- **FOIR/DBR** (for proprietor): 25%–50%.
- **DSCR (Term Loans):** ≥1.2x average; ≥1.0x minimum in stress.
- **ICR (Interest Coverage):** ≥1.8x where applicable.
- **Gearing (Secured):** Total debt/Net worth ≤ 3.0x (program-based).
- **Gross Margin/Working-Capital Cycle:** Industry bands; negative trends flagged.

**Risk Tiers (Illustrative)**

- **Tier A:** Strong bureau (≥740), stable banking, low cheque bounces, healthy DSCR, clean GST.
- **Tier B:** Moderate scores with stable cash-flows and acceptable security.
- **Tier C:** Thin file/volatility; needs collateral or lower exposure.

**Property & Collateral (Secured)**

- LTV by property type & city; **FSV** (forced sale value) for recovery scenarios.
- Legal clearance (title search 12–30 years), valuation by empanelled valuers; CERSAI charge.

**Working Capital (OD/CC)**

- DP computation rules, quarterly stock audit thresholds, insurance coverage for stock.
- Ageing criteria—e.g., receivables >90 days excluded or haircut.

**Invoice Finance**

- Anchor creditworthiness; dilution risk (returns, disputes); recourse terms; concentration per anchor.

**Exceptions**

- Allowed via **override matrix** (Maker–Checker–Approver) with written justification.

---

**7) Pricing, Fees & Charges (Illustrative)**

- **Interest:** Risk-based by tier, product, collateral, tenor, and industry risk.
- **Processing Fees:** Product-wise slabs; GST extra.
- **Other Charges:**
  - Legal/valuation (at actuals for LAP), stock audit charges, documentation charges.
  - Penal/overdue interest: up to 2% per month on overdue amounts (policy-capped).
  - Prepayment/foreclosure:
    - **Unsecured/Fixed:** 2%–4% (if within lock-in);
    - **Floating to individuals/sole props:** Generally nil/low as per policy;
    - **LAP:** As per product grid and regulation.
  - DP non-submission/stock statement delay fees (OD/CC).
- **Transparency:** KFS/MITC issuance; Tariff Card published; benchmark + spread displayed for floating.

---

**8) Disbursement & Post-Disbursal Controls**

**Disbursement Modes**

- **Unsecured/Term:** To borrower's business account.
- **LAP:** To borrower/vendor/beneficiary per end-use; tranche release after mortgage creation & PDCs.
- **OD/CC:** Limit set in LMS; drawing power enforced.

- **Invoice Finance:** To borrower or directly to supplier as programed; assignment executed.

**Pre-Disbursal Conditions (PDCs)**

- Signed agreement, KFS, eNACH; collateral perfection (for LAP), insurance cover notes (property/stock/asset), legal/valuation clean reports; DP setup for OD/CC; invoice acceptance for bill discounting.

**Post-Disbursal Documents (PDD)**

- Mortgage registration proof, CERSAI registration, insurance policy with lender clause; ROCs (for companies) charge creation; stock statements cadence; invoices/PoDs (invoice finance).

**Usage Monitoring**

- End-use declarations and random checks; bank account monitoring; variance alerts.

---

**9) Lifecycle & Customer Journey**

**A) Origination**

1. **Lead** via branch/DSA/digital/OEM/vendor ecosystems.
2. **Pre-screen**: Vintage, banking/GST metrics, bureau soft pull.
3. **Application**: eKYC, docs upload, consent capture.
4. **Underwriting**: Cash-flow analysis, ratios, site visit, reference checks (select).
5. **Sanction**: Sanction letter + **KFS**; list of PDCs.

**B) Disbursement**

- PDCs verified; security perfected; DP set (OD/CC); disbursements made.

**C) Servicing**

- EMI auto-debit; statements; part-prepayment; DP monitoring; covenant checks (e.g., quarterly stock audit).
- Rate resets & notifications (floating).

**D) Covenants & Monitoring**

- Submission of financials annually; GST & bank feeds (consented).
- Triggers: fall in average monthly credits, rising cheque bounces, tax defaults.

**E) Collections/Recovery**

- DPD buckets 1–30 (soft), 31–60 (mid), 61–90 (hard), 90+ (NPA).
- Strategies: Digital nudges, field teams, restructuring (policy-based), set-offs, security enforcement (LAP), OD/CC limit freezes, recall notices.

**F) Closure**

- Foreclosure/BT-out: issue SOA & foreclosure letter; collect charges; release security (NOC, reconveyance deed), update CERSAI/ROC; return originals.

---

**10) Operations & Control Framework**

**RACI**

- **Maker:** Sales/Ops capture data & docs; preliminary checks.
- **Checker (Ops QA):** KYC completeness, dedupe, fraud screening.
- **Approver (Credit):** Decision, pricing, exceptions.
- **Disburser (Central Ops):** PDC/PDD control, charge creation, payouts.
- **Custody:** Document vaulting (dual-control), barcoded custody, periodic audits.

**Daily/Periodic Controls**

- Dedupe & negative list; bureau re-pull if TAT > 15 days.
- Rate board & Tariff card updates; exception logs.
- PDD pendency trackers; covenant trackers.
- Stock audits (OD/CC) and insurance validity checks.
- Data privacy audit (consent registry, access logs).

**SLAs (Illustrative)**

- Standard unsecured sanction: **24–48 hrs** post complete docs.
- LAP with full legal/valuation: **3–7 working days**.
- OD/CC setup & DP regime: **3–5 working days**.
- NOC/Charge satisfaction: **T+7–15** days post closure.

---

**11) Risk, EWS & Fraud Controls**

| Risk Scenario | Red Flags | Mitigations |
|---|---|---|
| **Over-stated turnover** | GST vs bank credits mismatch; cash deposits spike | Triangulate GST/bank/ITR; site visit; supplier/customer references |
| **Round-tripping funds** | Immediate cash withdrawals post credit | End-use checks; monitor patterns; set conditions |
| **Multiple borrowings** | Enquiry spikes, recent top-ups | Bureau velocity rules; internal dedupe; exposure caps |
| **Fake invoices (invoice finance)** | No PoD, unverifiable buyer | Anchor verification, acceptance notes, credit insurance (if used) |
| **Property title defects (LAP)** | Gaps in chain, unregistered deeds | Title search, EC, legal opinion, reject if unresolved |
| **Stock overstatement (OD/CC)** | Ageing misreporting, physical mismatch | Surprise stock audits; insurer survey reports |
| **Promoter diversion** | Luxury/personal spends post disbursement | Covenant on end-use; monitoring; step-down disbursals |

**Portfolio EWS**

- Increase in cheque bounces; drop in average monthly credits; GST filing delays; sectoral downturns; geo cluster DPD spikes; property price shocks (for LAP).

---

**12) Legal & Regulatory (Indicative, India-centric)**

- **KYC/AML:** As per applicable Master Directions for individual and non-individual borrowers; beneficial ownership identification.
- **Fair Practices & KFS:** Provide **Key Facts Statement** & MITC with APR, fees, reset rules, and grievance matrix.
- **Security Creation:** Mortgage creation/registration; **CERSAI** charge; **ROC** charge for companies; insurance with lender clause.
- **Data Privacy & Consent:** Explicit consent for bureau pulls, bank/GST analyzer, and data use; retention & access control.

- **Enforcement:** SARFAESI/contractual enforcement for secured; demand/recall notices; transparent auction processes; surplus refund/deficit recovery rules.
- **Bureau Reporting:** Accurate, timely; correction SLAs.
- **MSME Benefits (if adopted):** Priority programs, CGTMSE/credit guarantee linkages (policy-dependent).

---

**13) Finance, Accounting & Capital**

- **EIR** for fee amortization; interest on daily reducing balance for TL; utilization-based for OD/CC.
- **Provisioning:** ECL with macro overlays (sector/geography); staging by DPD; LGD differentiated by secured/unsecured.
- **NPA Interest Reversal:** As per policy/regulation; cash basis thereafter.
- **Collateral Valuation:** Haircuts on LAP FSV; periodic revaluation.
- **ALM/Treasury:** Manage repricing gaps; fixed vs floating mix; securitization eligibility for seasoned pools.
- **Revenue Recognition for Subvention/Rebates:** As per audit policy; claw-back accruals.

---

**14) IT, Data & Analytics**

- **LOS/LMS Architecture:** API-first; integrations—eKYC, bureau, bank statement analyzer, GST, eSign, ACH, CERSAI/ROC, valuation/legal vendors, payment gateway, DMS.
- **Data Model:** Entity & promoter KYC, financials, banking features, GST metrics, industry code, collateral data, valuation/legal status, sanction/terms, disbursement, covenants, DP, collections, closure.
- **Dashboards/MIS:** Funnel/TAT, approval rates, yield by tier, delinquency vintage (secured vs unsecured), LAP LTV & city mix, OD utilization, invoice dilution, PDD pendency, audit observations, EWS alerts.
- **Security/Privacy:** Encryption, RBAC, audit logs, consent registry, data retention.
- **Analytics Use-Cases:** Pre-approved top-ups, spend pattern anomalies, GST filing reminders, probability of default models by sector, attrition/BT-out propensities.

---

**15) Customer Instructions – "How to Get a Business Loan"**

1. **Check eligibility** on HFDC app/website (turnover, banking, GST, collateral if any).
2. **Apply**: Upload KYC, bank statements, GST returns, financials, and (if secured) property papers.
3. **Get sanction** with **KFS** showing rate, APR, fees, repayment schedule, covenants.
4. **Complete PDCs**: eSign agreement, eNACH; for LAP—valuation/legal & mortgage; for OD/CC—stock/RC statements; for invoice finance—invoice/anchor acceptance.
5. **Disbursement**: To your business account/vendor; OD/CC limit activated.
6. **During the loan**: Submit periodic statements (bank/GST/stock), maintain insurance, keep EMIs/interest on time; request top-ups when eligible.
7. **Close/BT-out** anytime per policy; get **NOC**, charge satisfaction, and document return.

**Quick Documents**

- Entity KYC, promoter KYC; bank statements; GST returns; financials; property docs (if LAP); stock/receivable statements (OD/CC); invoices/PoDs (invoice finance); eNACH; consents.

---

**16) Example Calculations (Illustrative)**

**A) Unsecured Term Loan**

- **Principal:** ₹20,00,000; **Tenor:** 36 months; **Rate:** 16% p.a. (1.333%/mo)
- **EMI ≈** ₹70,396; **Total Interest ≈** ₹5,33,? (approx. ₹5.3L; exact per LOS/EIR and fees).

**B) LAP (Secured)**

- **Property FMV:** ₹1.2 Cr; **LTV:** 60% ⇒ **Sanction:** ₹72,00,000
- **Rate:** 11.25% p.a.; **Tenor:** 120 months
- **EMI ≈** ₹99,545; **Total Interest ≈** ₹47,45,? (illustrative; actuals depend on rests & repricing).

**C) OD/CC Limit**

- **Eligible Stock:** ₹40L; **Eligible RC (≤90 days):** ₹30L; **Margin:** 25%
- **DP = (40 + 30) × (1 − 0.25) = ₹52.5L** (subject to overdues & other deductions).
- **Monthly Interest** billed on daily **utilized** average.

*All examples are approximate and for training; the LOS will compute exact schedules and APR including fees.*

---

**17) Training, Audit & Governance**

- **Training:** Cash-flow underwriting, GST/banking analysis, LAP legal/valuation, DP & stock audit, invoice finance documentation, fair practices & conduct.
- **Audit:** Quarterly file audits, custody checks, CERSAI/ROC verifications, DP & stock audit reviews, negative list adherence, grievance handling.
- **Governance:** Annual Board policy approval; DoA matrix; regulatory updates; exception dashboards to Credit Committee.

---

**18) Templates & Annexures (Operational Extracts)**

**A) Sanction Letter / KFS – Key Fields**

- Loan/limit amount, tenure, EMI/interest terms, rate (benchmark + spread), APR, fees/charges, security/covenants, reset frequency, prepayment rules, grievance contacts.

**B) PDC Checklist – LAP**

- Clean legal, valuation ≥ policy, mortgage deed registered, CERSAI, property insurance with lender clause, eNACH activated.

**C) DP Statement – OD/CC**

- Opening stock/RC; eligible values after ageing; margin; deductions; DP; utilized; available drawing power.

**D) Invoice Finance Pack**

- Invoice copies, PoD/GRN, anchor acceptance, assignment deed, buyer master KYC, limit & concentration sheet.

---

**19) Risk-Based Pricing Grid (Illustrative)**

| Tier | Bureau (Promoter) | Product | Security | DSCR/DP | Rate (HRLR + Spread) |
|---|---|---|---|---|---|
| A+ | ≥760 | LAP/OD | Strong collateral/anchor | DSCR ≥ 1.5x | +1.75% |
| A | 720–759 | Unsecured/LAP | Adequate | DSCR 1.2–1.5x | +2.25% |
| B | 680–719 | Unsecured/OD | Moderate | DSCR 1.1–1.2x | +3.00% |
| C | 650–679 | Unsecured (low LTV headroom) | None | DSCR ~1.0x | +3.75% |

*Final pricing also reflects industry/geography, banking stability, ticket/tenure, and program type.*

---

**20) Glossary**

- **MSME:** Micro, Small & Medium Enterprises.
- **LAP:** Loan Against Property.
- **OD/CC:** Overdraft/Cash Credit.
- **DP:** Drawing Power.
- **DSCR:** Debt Service Coverage Ratio.
- **ICR:** Interest Coverage Ratio.
- **FSV:** Forced Sale Value.
- **KFS/MITC:** Key Facts Statement / Most Important Terms & Conditions.
- **CERSAI/ROC:** Charge registries for secured lending.
- **ECL:** Expected Credit Loss.